independent risks in the stock market that are not explained by beta, and, as a result, a premium for taking size and value risk is expected in the future.

SAMPLE INTERNATIONAL ALLOCATION

Part Three of this book includes several samples of portfolios that have international stocks in the asset allocation. Generally, the allocation to international stocks is about 30 percent of the equity portion of the portfolio. Within the allocation, a sample of international funds might be as follows:

- 30 percent in a Pacific Rim index fund
- 30 percent in a European index fund
- 20 percent in an international small-cap value fund
- 20 percent in an emerging markets index fund

This international portfolio is not a recommended portfolio—it is a sample of how a portfolio could be diversified internationally. There are many combinations of international funds that will provide adequate diversification with varying degrees of risk. Finding the one mix that is right for your unique situation is your mission. Whichever international mix you choose, maintaining that allocation through all market conditions is a key element of investment success.

INTERNATIONAL EQUITY INVESTMENT LIST

Table 7-6 gives a partial list of low-cost funds that are possible candidates for an international equity allocation. For more complete information on these and other low-cost no-load funds, read *All About Index Funds,* 2nd edition, by Richard A. Ferri (McGraw-Hill, 2007) and *The ETF Book,* 2nd edition, by Richard A. Ferri (Wiley, 2009).

TABLE 7-6

Select Low-Cost International Mutual Funds and ETFs